## GENERAL EDUCATION

# SOCIAL STUDIES

# TAXATION, LAND REFORM, COOPERATIVES, AND ECONOMICS

# TAXATION

## NATIONAL INTERNAL REVENUE CODE OF THE PHILIPPINES [TAX REFORM ACT OF 1997] REPUBLIC ACT NO. 8424

# ARTICLE VI. SECTION 28. 1987 CONSTITUTION

- The rule of taxation shall be uniform and equitable.
- The Congress shall evolve a progressive system of taxation.
- Charitable institutions shall be exempt from taxation.
- No law granting any tax exemption shall be passed without the concurrence of a majority of all the Members of the Congress.

# PROGRESSIVE & REGRESSIVE TAXATION

- Progressive taxation is a type of tax system that is designed to put the greatest tax burden on those who make the most money. ***Hence, the more you earn, the higher your tax rate.***

- An opposing form of tax is regressive taxation, where those who make the least of amount of money pay the highest taxes. ***Hence, the less you earn, the higher your tax rate.***

# PROPORTIONAL TAXES

Proportional taxes take the same percentage of everyone's income, wealth or expenditure, but the rich pay a larger amount in total.

# TAXATION

- The act of levying the tax, i.e., the process or means by which the sovereign, through its law-making body, raises income to defray the necessary expenses of the government.
- An enforced proportional contribution levied by the law making body of the state to raise revenue to support the indispensable and all the necessary expenses of the government.

# PRINCIPLES OF TAXATION

1. ***Enforced*** - as it involves the mandate of the law so that its imposition is mandatory to those covered by it.

2. ***Proportional*** - tax is proportioned upon a taxpayer's ability to pay.

3. ***Raise revenue*** - goes with the very heart of taxation, to earn income for the government.

4. ***Support the expenses of the government*** - related to public purpose of the imposition of taxation

# TYPES OF TAXATION

1. ***Specific taxes*** – Fixed amount paid by user per unit produced. Example: Excise taxes paid on petrol and alcohol and tobacco.

2. ***Ad valorem taxes*** – Percentage of value of the product is paid in tax by the producer.

   - Example: Value Added Taxes

# KINDS OF TAXES

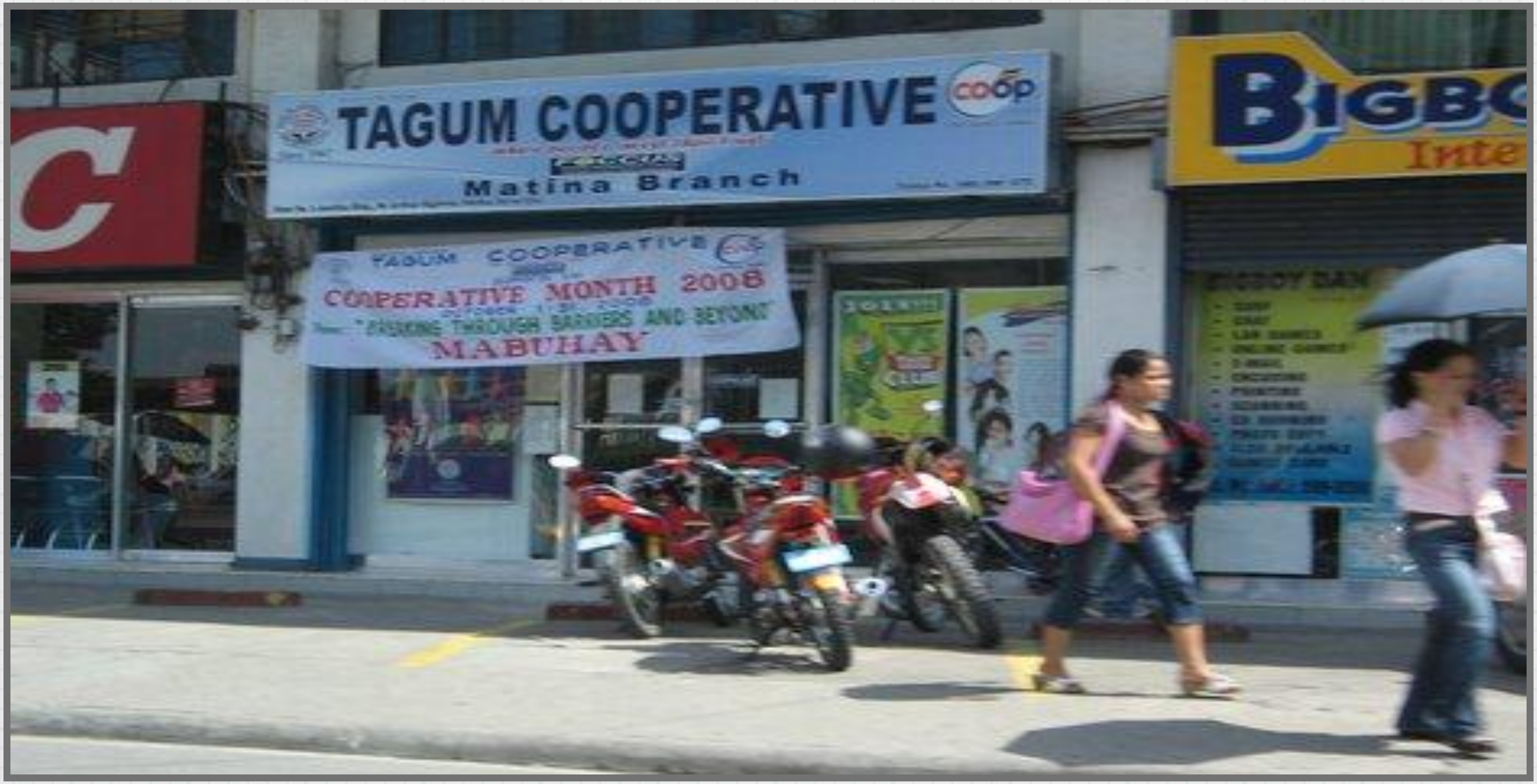
1. ***Income Tax*** is a tax on all yearly profits arising from property, profession, trades or offices or as a tax on a person's income, emoluments, profits and the like.

2. ***Withholding Tax on Compensation*** is the tax withheld from individuals receiving purely compensation income.

3. ***Value Added Tax*** is a business tax imposed and collected from the seller in the course of trade or business on every sale of properties (real or personal) lease of goods or properties (real or personal) or vendors of services. **It is an indirect tax, thus, it can be passed on to the buyer.**

# COOPERATIVES

**COOPERATIVES CODE OF THE PHILIPPINES**
**REPUBLIC ACT 6938**



# COOPERATIVES

A cooperative is a duly registered association of persons with a common bond of interest, who have voluntarily joined together to achieve a lawful common social or economic end, making equitable to contribution to the capital required and accepting a fair share of the risks and benefits of the undertaking in accordance with universally accepted cooperative principle.

# PRINCIPLES OF COOPERATISM

1. ***Voluntarism***
   - This means that each member of a cooperative becomes a member voluntarily and is not restricted by social , political or religious discrimination . In fact anyone who meets the qualifications set by a cooperative's bylaws can be a member if he willingly shoulders their responsibility.
2. ***Democracy***
   - Coops are democratic organizations with officers and managers elected or appointed in a manner agreed on by members. Each member, no matter the amount of his share, is entitled to one vote.

# PRINCIPLES OF COOPERATISM

3. ***Limitation of share capital interest***
   - In the context of cooperativism, interest on a member share capital is limited so that no person- especially those with money- can have an overwhelming equity in the coop.
4. ***Sharing all location of cooperatives surplus or savings.***
   - At bottom, it mandates distribution of surplus equitably so that no member, gains at the expense of another.

# PRINCIPLES OF COOPERATISM

- Education and training of cooperatives members, officers and employees, and of the general public in the principles and techniques of cooperation.
- Promotion of cooperation between cooperatives at local, national and international levels.
- Concern for community by working for its sustainable development through policies approved by the cooperative members.

# KINDS OF COOPERATIVES

1. ***Credit Cooperative*** – promotes thrift and savings among its members and creates funds in order to grant loans for productivity.

2. ***Consumer Cooperative*** – the primary purpose is to procure and distribute commodities to member and non-members.

3. ***Producers Cooperative*** – undertakes joint production whether agricultural or industrial.

# KINDS OF COOPERATIVES

3. ***Service Cooperative*** – engages in medical, and dental care, hospitalization, transportation, insurance, housing , labor, electric light and power, communication and other services

4. ***Multi- Purpose Cooperative*** - combines two (2) or more of the business activities of these different types of cooperatives.

# KINDS OF MEMBERSHIPS

- A ***regular member*** is entitled to all the rights and privileged of membership as stated in the Cooperative Code and the coops by- laws.
- An ***associate member*** has no right to vote and to be voted upon and is entitled to such rights and privileged provided by the cooperatives by laws.

# MINIMUM NUMBER OF MEMBERS

- Fifteen (15) natural persons of legal age who are citizens of the Philippines.

# THE GENERAL ASSEMBLY

- The General Assembly is the highest policy-making body of the cooperative and is the final authority in the management and administration of the affairs of the cooperative.
- It is composed of members who are entitled to vote, duly assembled and constituting quorum.

# THE GENERAL ASSEMBLY

- To determine and approve amendments to the articles of cooperation and by laws;
- To elect or appoint the members of the board of directors, and to remove them for cause;
- To approve developmental plans of the cooperative; and
- Other matters requiring a 2/3 vote of all the members of the general assembly

# THE BOARD OF DIRECTORS

- The Board of Directors is **the body that formulates policies, directs, supervises and manage the business of the cooperative.**
- It is composed of **five (5) to fifteen (15)** members elected by the general assembly.
- Their term of office is determined by the laws of the cooperative. A term of office must not exceed two years. Also no director can serve for more than three (3) consecutive terms.

# QUORUM

- A quorum consist of 25% of all the regular members entitled to vote.
- For the board of directors a simple majority of its member makes a quorum.

# ARUNS

- Coops with accumulated reserves and undivided net savings of not more than P10 million are exempt from national, city, provincial, municipal or barangay taxes.
- They are exempt from customs duties, advance sales or compensating taxes on importation of machineries and spare parts which are not available locally as long as the Department of Trade and Industry certifies it.

# ARUNS

- Even coops with more than P10 million accumulated reserves and undivided net savings are exempt from paying income and sales taxes on sales to members for a period of at least 10 years from registration.

# COMPREHENSIVE AGRARIAN REFORM PROGRAM (CARP)

## COMPREHENSIVE AGRARIAN REFORM LAW OF 1988

## REPUBLIC ACT NO. 6657



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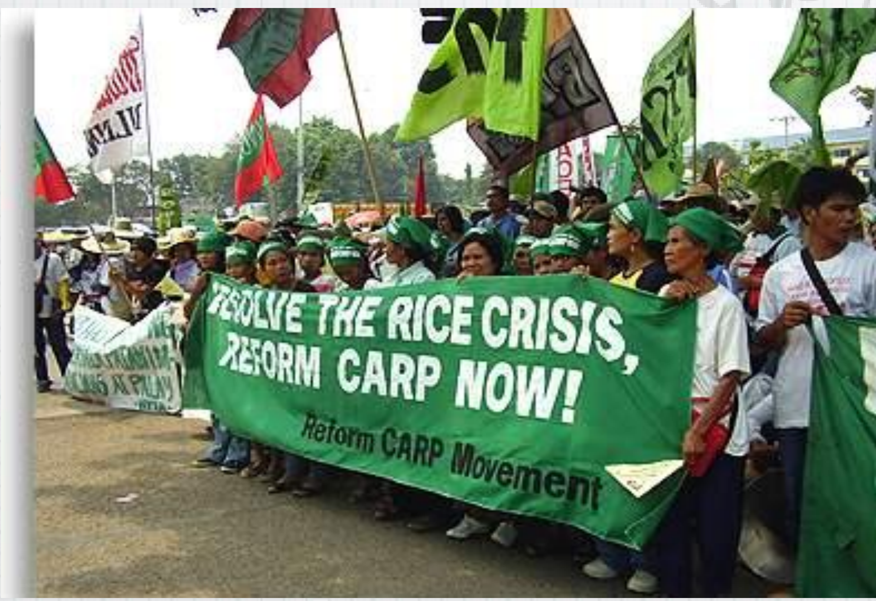
# CARP

- The ***Comprehensive Agrarian Reform*** Program (CARP)was instituted on June 10, 1988.
- The centerpiece program of President Corazon Aquino's administration, it was considered the most comprehensive of all the redistributive programs established by past administrations.

# CARP

Its enabling law, Republic Act 6657, aimed not only to grant land to the tillers, but also to provide them with the necessary support services that would ensure the productivity of the landgiven to them under the law.

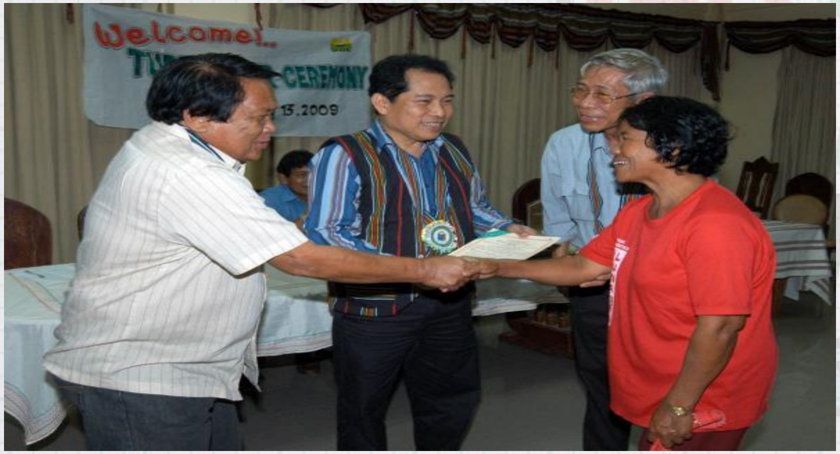



# LEGAL BASES

- Section 21 of Article II or the Declaration of Principles and State Policies asserts, "the State shall promote comprehensive rural development and agrarian reform."
- The National Economy and Patrimony Article (XXII), in Section 1, par. 2 reiterates, "the State shall promote industrialization and full employment based on sound agricultural development and agrarian reform."

# SCOPE

The Comprehensive Agrarian Reform Law covers, regardless of tenurial arrangement and commodity produced, all public and private agricultural lands as provided in Proclamation No. 131 and Executive Order 229, including other lands of the public domain suitable for agriculture.




# SCOPE

- Of the 8.1 million hectare-revised CARP scope, the Department of Agrarian Reform (DAR) is tasked to distribute 4.3 million hectares.
- The Department of Environment and Natural Resources (DENR), on the other hand, is tasked with the distribution of 3.8 million hectares.

# RETENTION LIMITS

- Under RA 6657, the landowner retains a maximum of five hectares.
- Three hectares is awarded to each child of the landowner provided that he/she is at least fifteen years of age, and that he/she is actually tilling the land or directly managing the farm.
- The landowner has the right to choose which area to retain.

# IMPLEMENTATION

- The distribution of all lands shall be implemented immediately and completed within ten years from the effectivity of the law.

# REPUBLIC ACT 8532

- RA 8532 amends Section 63 of the CARL and legislates an additional FIFTY BILLION PESOS for the CARL's implementation until 2008.
- In addition to the sources of funds identified in Section 20 of EO 229, RA 8532 also appropriates not less than three billion pesos from the General Appropriations Act (GAA).

# REPUBLIC ACT 8532

- However, the Department of Justice Opinion No. 9 of 1997 adds that "the ten-year implementation period should be regarded as directory and not mandatory."
- This means that the period for implementation set under both Acts should be regarded as mere target periods within which the implementation of the program should be completed. This does not indicate the end of the program itself.

# REPUBLIC ACT 9700

- An Act Strengthening The Comprehensive Agrarian Reform Program (CARP), Extending The Acquisition And Distribution Of All Agricultural Lands, Instituting Necessary Reforms, Amending For The Purpose Certain Provisions Of Republic Act No. 6657, Otherwise Known As The Comprehensive Agrarian Reform Law Of 1988, As Amended, And Appropriating Funds Therefor

# REPUBLIC ACT 9700

- CARPER law which was signed by GMA on August 7, 2009 contains an extension of the budget for CARP especially the Land Acquisition and Distribution (LAD) program for five years starting July 1, 2009 and the necessary reforms to complete the acquisition and distribution of the remaining One Million Hectares of private agricultural lands to landless farmers.
- CARPER law provides for clarification of policies and its interpretation by CARP implementation agencies including the decision of judicial courts.

# REPUBLIC ACT 9700

## *SCOPE*

1. All alienable and disposable lands of the public domain devoted to or suitable for agriculture;
2. All lands of the public domain in excess of the specified limits, as determined by Congress;
3. All other lands owned by the Government devoted to or suitable for agriculture;
4. All private lands devoted to or suitable for agriculture regardless of the agricultural products raised or that can be raised thereon

# REPUBLIC ACT 9700

## *EXCLUSION*

1. Landholdings with an area of five (5) hectares and below are excluded from coverage.

2. A comprehensive inventory system in consonance with the National Land Use Plan in accordance with the Local Government Code shall be instituted by the DAR within one (1) year from the effectivity of the law.

# REPUBLIC ACT 9700

## *RETENTION LIMITS*

Local government units acquiring private agricultural lands by expropriation  or other modes for actual, direct and exclusive public purposes shall not be subject to the five (5) hectare retention limit under this section and Sec. 70 and 73-A of RA 6657, provided that: (1) Lands subject to CARP are first acquired and distributed under the Program; (2) Beneficiaries are paid just compensation .

# REPUBLIC ACT 9700

***OTHER SALIENT FEATURES***

- It stressed that the CARP is a continuing program. After completion of the LAD component of the CARP (30 June 2014), **yearly appropriation shall be allocated fully to support services, agrarian justice delivery, and operational requirements of the DAR and other CARP implementing agencies.**
- It created a Joint Congressional Oversight Committee.

# REPUBLIC ACT 9700

- It has a clear policy against conversion of agricultural lands. DAR may, with due notice to the affected parties and subject to existing laws, authorize the reclassification or conversion of lands and its disposition after five (5) years from its award when: (1) ü the land ceases to be economically feasible and sound for agricultural purposes, or (2) the locality has become urbanized and the land will have greater economic value for residential, commercial or industrial purposes.

- It emphasized a gender-sensitive agrarian reform.

# ECONOMICS

# WHAT IS ECONOMICS?

- Economics is the study of how we use our scarce productive resources for consumption, now or in future. (*Paul Samuelson*)
- Resources are scarce: Society has limited resources and therefore cannot produce all the goods and services people wish to have.

# WHAT IS ECONOMICS?

1. ***Microeconomics*** - The study of the decisions of people and businesses and the interaction of those decisions in markets. The goal of microeconomics is to explain the prices and quantities of individual goods and services.

2. ***Macroeconomics*** - The study of the national economy and the global economy and the way that economic aggregates grow and fluctuate. The goal of macroeconomics is to explain average prices and the total employment, income, and production.

# THE ECONOMIC PROBLEMS

1. ***What goods and services should an economy produce?*** – should the emphasis be on agriculture, manufacturing or services, should it be on sport and leisure or housing?

2. ***How should goods and services be produced? –*** labour intensive, land intensive, capital intensive? Efficiency?

3. ***Who should get the goods and services produced?*** – even distribution? more for the rich? for those who work hard?

# FACTORS OF PRODUCTION

1. ***Land*** - Natural resources used to produce goods and services. The return to land is rent.
2. ***Labor*** - Time and effort that people devote to producing goods and services. The return to labor is wages.
3. ***Capital*** - All the equipment, buildings, tools and other manufactured goods used to produce other goods and services. The return to capital is interest.
4. ***Entrepreneurial ability*** - A special type of human resource that organizes the other three production factors, makes business decisions, innovates, and bears business risk. Return to entrepreneurship is profit.

# PRODUCTION POSSIBILITY FRONTIER

The boundary between combinations of goods and services that can be produced and those that cannot.

1. ***Production efficiency*** - When it is not possible to produce more of one good without producing less of some other good. Production efficiency occurs only at points on the PPF.

2. ***Economic growth*** - Means pushing out the PPF. The two key factors that influence economic growth are technological progress and capital accumulation.

# LAW OF DEMAND

- ***Demand curve*** - the relationship between the quantity demanded of a good and its price, all other influences on consumers' planned purchases remaining the same.
  - Other things remaining the same, the higher the price of a good, the smaller is the quantity demanded.
- ***Substitution effect*** - the opportunity cost of a good increases, people buy less of that good and more of its substitutes.
- ***Income Effect*** - Faced with a high price and an unchanged income, the quantities demanded of at least some goods and services must be decreased.

# LAW OF SUPPLY

- Other things remaining the same, the higher the price of a good, the greater is the quantity supplied.

- Supply of a good depends on:
  1. The price of the good
  2. The prices of factors of production
  3. The price of other goods produced
  4. Expected future prices
  5. The number of suppliers
  6. Technology

# EQUILIBRIUM

- A situation in which opposing forces balance each other.
- Equilibrium in a market occurs when the price is such that the opposing forces of the plans of buyers and sellers balance each other.
- ***Equilibrium price =*** the price at of quantity demanded equals the quantity supplied.
- **Equilibrium quantity** = the quantity bought and sold at the equilibrium price.

# ELASTICITY

- ***Price elasticity of demand*** – A measure of the responsiveness of the quantity demanded of a good to a change in its price, other things remaining the same.
- ***Inelastic demand*** -If the quantity demanded remains constant when the price changes, then the elasticity of demand is zero and demand is said to be perfectly inelastic.
- ***Elastic demand*** - If the quantity demanded is indefinitely responsive to a price change, then the magnitude of the elasticity of demand is infinity, and demand is said to be perfectly elastic.

# WHEN MARKETS DO NOT WORK

- ***Price ceiling*** - A regulation that makes it illegal to charge a price higher than a specified level. When a price ceiling is applied to rents in housing markets, it is called a rent ceiling.

- ***Black market*** - An illegal trading arrangement in which buyers and sellers do business at a price higher than legally imposed price ceiling.

- ***Minimum wage law*** - A regulation that makes hiring labor below a specified wage illegal.

- ***Externalities*** – Social costs, but no private costs.

# PERFECT COMPETITION

- ✓ *There are many firms, each selling an identical product.*
- ✓ *There are many buyers.*
- ✓ *There are no restrictions on entry into the industry.*
- ✓ *Firms in the industry have no advantage over potential new entrants.*
- ✓ *Firms and buyers are completely informed about the prices of the product of each firm in the industry.*

# IMPERFECT COMPETITION

- ***Monopoly*** - An industry that produces a good or service for which no close substitute exists and in which there is one supplier that is protected from competition by a barrier preventing the entry of new firms.
- ***Price discrimination*** - The practice of charging some customers a lower price than others for an identical good or of charging an individual customer a lower price on a large purchase than on a small one, even if the cost of servicing all customers is the same.
- ***Monopolistic competition*** - A market structure in which a large number of firms compete with each other by making similar but slightly different products.
- ***Oligopoly*** - A market structure in which a small number of producers compete with each other.

# KEY TERMS

- ***Consumption expenditure*** - The amount spent on consumption goods and services.
- ***Savings*** – What remains out of income after consuming.
- ***Capital*** - The plant, equipment, buildings, and inventories of raw materials and semi-finished goods that are used to produce other goods and services.
- ***Investment*** - The purchase of new plant, equipment, and buildings and the additions to inventory. Investment increases the stock of capital.
- ***Depreciation*** - the decrease in the stock of capital that results from wear and tear and the passage of time.

# KEY TERMS

- ***Gross domestic product*** - GDP is the total of all economic activity in one country, regardless of who owns the productive assets.
- ***Gross national product*** - GNP, is the total of incomes earned by residents of a country, regardless of where the assets are located.

# KEY TERMS

- ***Budget deficits*** (spending exceeds revenues) boost total demand and output through a net injection into the circular flow of incomes.
- ***Budget surpluses*** (revenues exceed expenditure) may be prudent if a government is building up a large surplus on its social security fund in order to meet an expected increase in its future pensions bill as the population ages.
- ***Tighter or looser.*** Fiscal policy is said to have tightened if a deficit is reduced or converted into a surplus or if a surplus is increased, after taking into account the effects of the economic cycle. A move in the opposite direction is called a loosening of fiscal policy.

# KEY TERMS

- ***Price Floors (minimum prices)*** - Type of government intervention is prices deemed too low. Only effective if set above equilibrium price. Effect of price floor is to ensure that surplus is produced.
- ***Price Ceiling (maximum prices)*** - A regulation that makes it illegal to charge a price higher than a specified level. When a price ceiling is applied to rents in housing markets, it is called a rent ceiling.
- ***Opportunity Cost*** – the cost expressed in terms of the next best alternative sacrificed. Helps us view the true cost of decision making.


# BASIC ECONOMIC SYSTEMS

# 4 MAIN TYPES OF ECONOMIC SYSTEMS

1. ***Command Economy***
2. ***Market Economy***
3. ***Mixed Economy***
4. ***Traditional Economy***

# COMMAND ECONOMY

In a command economy the government answers the three basic economic questions.

1. *What?* A dictator or a central planning committee decides what products are needed.
2. *How?* Since the government owns all means of production in a command economy, it decides how goods and services will be produced.
3. *For whom?* The government decides who will get what is produced in a command economy.

# MARKET ECONOMY

In a pure market economy there is no government involvement in economic decisions. The government lets the market answer the following three basic economic questions:

1. ***What?*** Consumers decide what should be produced in a market economy through the purchases they make.
2. ***How?*** Production is left entirely up to businesses. Businesses must be competitive in and produce quality products at lower prices than their competitors.
3. ***For whom?*** In a market economy, the people who have more money are able to buy more goods and services.

# MIXED ECONOMY

- A combination of command and market economic systems.
- All economies in the world today are mixed. There is some government involvement in the economy.
- The government regulates the economy. Its role is to regulate but not control.
- Market forces control most consumer goods but government directs industry in need areas.
    - ***Example:*** The United States government is involved in the economy through laws and regulations on businesses, and provides socialistic programs, like welfare, Medicaid, and Medicare.

# TRADITIONAL ECONOMY

- An economic system in which economic decisions are made based on customs, beliefs, religion and habits.
  - ***Advantages*** – there is little friction among members because relatively little is disputed.
  - ***Disadvantages*** – It restricts individual initiative and has a lack of advanced goods, new technology, and growth.